1031 EXCHANGE LOS ANGELES

Los Angeles 1031 Owner’s Guide

What to organize before a sale, how the exchange calendar works, and how to compare direct property, NNN, and DST choices within the Los Angeles exchange.

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START BEFORE CLOSING

Build the Los Angeles Exchange Around the Planned Sale

The strongest Los Angeles planning starts with the actual transaction: ownership, use, sale timing, basis questions, financing, exchange equity, and the responsibilities the owner wants after closing. We help bring those facts into one organized review.

Professionals commonly involved

- **Independent qualified intermediary:** exchange documents, fund control, identification process, and exchange administration.
- **CPA or tax advisor:** basis, depreciation, gain, debt, boot, state tax, filing dates, and the after-tax comparison.
- **Attorney:** ownership, entity, contract, title, estate, partnership, and legal questions.
- **Property professionals:** broker, lender, title, inspector, manager, environmental consultant, and other asset-specific specialists.
- **Licensed securities professional:** DST access, eligibility, recommendation, risks, fees, conflicts, and suitability review.

> **Critical timing point:** Engage the qualified intermediary before the relinquished property closes. Receiving or controlling exchange proceeds can prevent the sale from qualifying.

Information to assemble for the Los Angeles exchange

- Anticipated sale price, closing date, loan payoff, ownership entity, co-owner decisions, and contract status.
- Property facts for the Los Angeles exchange, including use, original cost, improvements, depreciation records, prior exchanges, and estimated selling costs.
- Desired income, management tolerance, leverage, hold period, and replacement preferences related to multifamily, apartment properties, and industrial.
- Current candidates in or beyond Downtown Los Angeles, CA, Century City, CA, and Hollywood, CA, plus a practical backup path if a preferred acquisition cannot close.

THE CALENDAR

Keep the Los Angeles Sale and Replacement Deadlines on One Calendar

The day the relinquished property transfers generally starts both federal exchange periods. These are calendar-day periods, not business-day estimates.

Before transfer	Select the QI, involve the CPA, confirm the Los Angeles exchange facts, estimate the replacement target, and begin the search.
By day 45	Deliver a written identification that follows the applicable rules. Identification mechanics and wording belong with the qualified intermediary and professional team.
By day 180	Acquire qualifying replacement property, subject to the earlier tax-return due-date rule described by the IRS.

Why early work matters for the Los Angeles exchange

A useful search begins with anticipated equity, debt, timing, income needs, management preferences, risk limits, and professional responsibilities. That brief lets direct listings, NNN assets, and eligible DST alternatives be compared against the same Los Angeles sale objective.

Pressure points to address early

- Waiting until after closing to involve the QI.
- Treating the 45-day period as 45 business days.
- Relying on one Los Angeles exchange acquisition that can fail during financing, title, physical, lease, or financial diligence.
- Choosing a replacement only because it is available instead of testing whether it solves the reason for selling.
- Assuming a qualifying exchange eliminates tax rather than deferring eligible gain.

REPLACEMENT CHOICES

Compare ownership paths against the same Los Angeles sale objective.

Replacement options for a Los Angeles exchange should be judged against the same acquisition brief. That keeps an available listing, long lease, or DST offering from being treated as suitable only because the 45-day clock is running.

Decision	Direct Property	NNN Property	DST Interest
Control	Owner directs the property and major decisions.	Owner controls the real estate subject to lease terms.	Sponsor controls the trust and property.
Management	Owner or hired manager operates the property.	Tenant bears the duties stated in the lease.	Professional management; investor is passive.
Financing	Buyer arranges acquisition debt.	Buyer usually arranges acquisition debt.	Debt, if any, is embedded in the offering.
Liquidity	Usually requires a sale or refinance.	Usually requires a sale or refinance.	Private-placement interests are generally illiquid.
Core review	Title, leases, condition, market, operations, and debt.	Tenant, guaranty, lease, property, and residual value.	Offering, sponsor, fees, conflicts, risks, and suitability.

Direct property

Direct ownership within the Los Angeles exchange can preserve control over leasing, improvements, financing, management, refinancing, and sale timing. Diligence commonly covers title, condition, leases, operations, market, insurance, capital needs, and financing.

NNN property

A triple-net lease considered for the Los Angeles exchange may transfer specified taxes, insurance, and maintenance duties to the tenant. The lease controls. Review tenant credit, guaranties, rent steps, options, assignment, casualty, roof and structure, end-of-term risk, and residual value.

DST interest

A qualifying DST structure may be considered in the Los Angeles exchange, but DST interests are also securities and are generally illiquid. Review the offering, sponsor, property, tenants, leverage, reserves, fees, compensation, conflicts, distribution assumptions, restrictions, and exit risks through the licensed process.

SELLER SITUATIONS

Identify the burden, risk, or opportunity driving the Los Angeles sale.

Tenant demands, deferred capital work, partner objectives, retirement, inherited ownership, concentration, and a desire for steadier management can lead to very different replacement choices in Los Angeles.

Tired of tenants and repairs

For the Los Angeles exchange, compare improved management, a different direct asset, NNN ownership, a DST, and a taxable sale. Less daily work can also mean less control or liquidity.

Inherited investment property

Before the Los Angeles exchange advances, confirm basis, valuation, estate administration, title, co-owner objectives, rental use, and the tax effect of selling with the CPA and attorney.

Already under contract

Share the anticipated Los Angeles closing date immediately, engage the QI before transfer, define the replacement brief, and begin the search while the sale is moving.

A preferred replacement is already available

A reverse exchange may be relevant when the Los Angeles exchange requires acquiring replacement property before the relinquished property sells. Specialized professional coordination is required.

The replacement needs improvements

An improvement exchange may be relevant when qualifying work must be completed while an accommodation titleholder holds the replacement property. Work completed after the owner takes title generally does not become exchange value.

Owners want different outcomes

Ownership and tax planning for the Los Angeles exchange should begin before the sale contract fixes the parties and timeline. Entity and co-owner changes can have serious tax and legal consequences.

> **Practical test:** If a replacement does not address the reason for the Los Angeles sale, it should not move to the top of the list merely because it is available before day 45.

CONVERSATION CHECKLIST

Questions for the First Los Angeles Planning Call

Not every answer is required before contacting 1031 Exchange Los Angeles. These questions simply make the first Los Angeles exchange conversation more useful.

- What property is being sold, where is it located, and how has it been used?
- Is it listed, under contract, or scheduled to close?
- Who owns it now, and do all owners want the same outcome?
- What is the estimated sale price, loan payoff, and net equity?
- Has an independent qualified intermediary been engaged?
- Has the CPA estimated gain, depreciation-related tax, and after-tax proceeds?
- What is the main reason for the Los Angeles sale?
- How much management and control should remain after the exchange?
- Should the Los Angeles exchange compare direct property, NNN ownership, DST interests, or multiple paths?
- What liquidity, leverage, income, concentration, and hold-period limits matter?
- Are there candidates in Downtown Los Angeles, CA, Century City, CA, and Hollywood, CA or another market already under review?
- Which professionals are involved, and what introductions are still needed?

Start the conversation: 1031exchangelosangeles.com or . Share the property being sold and the reason for the sale. We will help organize the comparison and coordinate appropriate independent professionals.

REFERENCES AND LIMITS

Use Primary Guidance and Independent Advice for the Los Angeles Exchange

This 1031 Exchange Los Angeles guide is a planning aid. Tax, legal, property, lending, and securities conclusions depend on current law and the facts of the transaction.

IRS Publication 544 - Sales and Other Dispositions of Assets

https://www.irs.gov/publications/p544

IRS Like-Kind Exchanges - Real Estate Tax Tips

https://www.irs.gov/businesses/small-businesses-self-employed/like-kind-exchanges-real-estate-tax-tips

IRS Revenue Ruling 2004-86 - Delaware Statutory Trust

https://www.irs.gov/irb/2004-33_IRB

IRS Publication 559 - Survivors, Executors, and Administrators

https://www.irs.gov/publications/p559

FINRA Regulatory Notice 23-08 - Private Placements

https://www.finra.org/rules-guidance/notices/23-08

SEC Private Placements - Rule 506(b)

https://www.sec.gov/resources-small-businesses/exempt-offerings/private-placements-rule-506b

Important disclosure

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